

Guesstimate 03: TuneFlow Premium Subscribers

Domain: Sales and Marketing

Problem Statement

TuneFlow plans to launch a Family Premium Plan in India.

Question

Estimate how many users are likely to subscribe to the Family Plan during its first year.

Students May Consider

- Smartphone Users
- Music Streaming Adoption
- Household Size
- Existing Premium Users
- Price Sensitivity

Concepts Tested

- TAM / SAM / SOM
- Consumer Segmentation
- Pricing
- Digital Adoption

How many users will subscribe to TuneFlow's Family Premium Plan during the first year?

Begin by estimating India's smartphone users at roughly 800 million.

Assume around 55% use a music streaming service, giving approximately 440 million users.

A family plan is relevant mainly for households with multiple users. Assume 40% fit this profile, resulting in 176 million potential households/users.

Only a fraction will pay for premium streaming. Assume 10% are willing to purchase a family subscription, giving 17.6 million prospects.

Finally, assume TuneFlow captures 5% of this addressable market in its first year.

This results in approximately 880,000 subscribers.

Therefore, TuneFlow can expect around 0.9 million Family Plan subscriptions during its first year.